

# Vanguard Precision Aerospace Machining

Confidential Executive Overview & Acquisition Prospectus

|                             |                                 |                             |                            |
|-----------------------------|---------------------------------|-----------------------------|----------------------------|
| Seller Asking Price:        | \$14,200,000 (DEMAND)           | Seller Claimed EBITDA:      | \$3,100,000 (UNRELIABLE)   |
| Audited Normalized EBITDA:  | \$2,150,000 (-30.6% Deficit)    | Mandatory Target Valuation: | \$9,800,000 (-\$4.40M Cut) |
| Top Customer Concentration: | 38.5% (Fabrikam Aerostructures) | Deferred Machinery Backlog: | \$800,000 Spindle Repairs  |

## 1. Valuation Re-Pricing Directive (RENEGOTIATE)

Vanguard Precision Aerospace Machining operates 24 CNC machining centers producing high-precision titanium and structural aluminum components for major defense prime contractors.

While the company maintains active AS9100D and ITAR certifications, forensic audit reveals three severe valuation impairments that mandate an immediate purchase price reduction from \$14.2M to \$9.8M.

RE-PRICING WATERFALL LEVERS:

- **Add-Back Disallowances (-\$2.07M):** \$450k/yr of personal luxury vehicles, family vacations, and unearned family salaries disallowed.
- **Customer Concentration Risk (-\$610k):** Top customer (38.5%) contract expires in 4 months under a mandatory 15% rate cut RFP.
- **Machinery CapEx Backlog (-\$800k):** 8x Haas 5-axis mills require immediate spindle and guideway rebuilds.

## 2. Forensic Valuation Waterfall

| Bridge Component                        | Valuation Impact | Multiple       | Resulting Price |
|-----------------------------------------|------------------|----------------|-----------------|
| Seller Asking Price                     | \$14,200,000     | 4.58x Claimed  | \$14,200,000    |
| Disallow \$450k Personal Add-Backs      | -\$2,070,000     | 4.60x Multiple | \$12,130,000    |
| Replacement GM & Wage Adjustments       | -\$920,000       | 4.60x Multiple | \$11,210,000    |
| CapEx Deferred Maintenance Deduction    | -\$800,000       | Direct Offset  | \$10,410,000    |
| Customer Concentration Discount (38.5%) | -\$610,000       | Risk Discount  | \$9,800,000     |
| FINAL TARGET TRANSACTION PRICE          | -\$4,400,000     | 4.56x Audited  | \$9,800,000     |